

Employee Expense Approval Policy

Policy ID: FIN-EXP-2026-004

Version: 1.0

Effective Date: 15 September 2026

1. Purpose

This policy establishes requirements for reviewing and approving employee expenses. Expenses must be supported by a valid business purpose and the required approval before reimbursement.

2. Scope

This policy applies to employees, contractors and temporary staff submitting business-related expenses.

3. Expense Approval Matrix

Expense category	Amount	Required approval	Outcome if approval missing
Travel	Up to £500	Line manager	REJECT
Travel	Above £500	Department head	REJECT
Equipment	Up to £1,000	Line manager	REJECT
Equipment	Above £1,000	Department head	REJECT
Training	Up to £2,000	Line manager	REJECT
Training	Above £2,000	Department head	REJECT

4. Mandatory Requirements

ER-01 — Every expense must contain an employee identifier, expense category, amount and business purpose.

ER-02 — An expense must have the approval required by the Expense Approval Matrix before reimbursement.

ER-03 — An expense with a non-positive amount is invalid and must be rejected.

ER-04 — Expenses in categories not defined by this policy require Finance review before reimbursement.

ER-05 — An expense must not be reimbursed when the required approval is missing.

5. Exceptions

An exception may be granted only when it is documented, includes a business justification, identifies an accountable approver and has an expiry date. An exception without an expiry date is invalid.

6. Decision Outcomes

Decision	Meaning
APPROVE	All applicable requirements are satisfied and the required approval is present.
REJECT	A mandatory requirement is violated or required approval is missing.
REVIEW	The policy does not provide enough information for an automatic decision or the category is undefined.
EXCEPTION	A valid documented exception is active and applicable.

7. Audit Evidence

The employee identifier, category, amount, business purpose, approval, decision and exception reference where applicable must be retained for audit purposes.

8. Policy Review

This policy must be reviewed annually or when material changes occur to expense approval requirements.